

**FEDERAL MARITIME COMMISSION**

-----x

HANGZHOU QIANWANG DRESS CO., LTD.

Docket No. 17-02

Complainant,  
-against-

RDD FREIGHT INTERNATIONAL INC.

Respondent.

-----x

**RDD'S BRIEF IN OPPOSITION TO COMPLAINANT'S  
MOTION FOR SUMMARY JUDGMENT AND  
IN SUPPORT OF RDD'S CROSS-MOTION FOR SUMMARY JUDGMENT**

Respondent RDD FREIGHT INTERNATIONAL INC. ("RDD"), by and through its undersigned counsel, hereby opposes the Complainant's summary judgment motion and cross-moves this Commission/Court for summary judgment in favor of RDD on the ground that the Parties have settled the claims in dispute at bar and there is no genuine dispute of material facts that the Complainant could sustain its claims for its alleged losses and damages against Respondent RDD.

**STATEMENT OF FACTS**

1. RDD was and still is a licensed cargo forwarder and a Non-Vessel Ocean Carrier (NVOCC)(RDD Exhibit 1).
2. RDD has been carrying the surety bonds which became the Complainant's target (RDD Exhibit 2).
3. RDD carried the goods in question under Bills of Ladings issued but denies the rest of the Complainant's allegations (RDD Exhibit 3).
4. RDD contracted with the Complainant for transportation of the goods in question.
5. Complainant agreed but later refused to pay freight charge in breach of the said contract.

6. Under the said Bills of Lading, the three containers of goods became the subject matter of this case whereby the Complainant seeks to recover the invoice value of the goods in question – from RDD but not from SWAK Kids Inc. was the designated consignee.
7. RDD's employee was defrauded and misled by SWAK KIDS INC. into releasing the goods to the said consignee by relying upon latter's misrepresentation that she was authorized to do so (RDD Exhibit 4).
8. While waiting for the Complainant's instructions, RDD's employee was defrauded and misled into releasing the goods to the said consignee – in a good faith and bona fide effort to save the \$450.00 per day demurrage for the said Consignee (RDD Exhibit 4).
9. The Consignee SWAK KIDS, upon paying the Complainant the sum of \$10,000, has failed to pay the balance of \$123,408.00, which constitutes the Complainant's claim in this case.
10. Complainant never tried to collect the said sum of money from the Consignee SWAK KIDS, nor to even contact them to collect the same. In an email letter addressed to the FMC, the digital signature contains "Kid Apparel Club" which is the same as the Consignee SWAK KIDS! RDD submits that the Complainant has colluded with SWAK KIDS to extract monies from RDD (RDD Exhibit 5).
11. RDD has counterclaimed that the Complainant had conspired with the said consignee to make RDD pay out of its surety bonds.
12. On or about May 17, 2018, while this case is still pending, the Complainant has settled its claims against RDD and Zhejiang Handsome Int'l - its counterpart in China under the Chinese Court Procedures whereby RDD would pay the sum of \$61,704.00 representing 50% of the value of the claims; RDD paid and Complainant received in full settlement of its claims. (RDD Exhibit 6).

## ARGUMENT

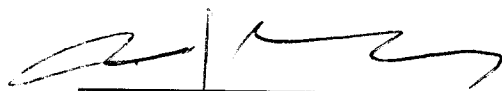
13. A motion for summary judgment is considered under Rule 56 of the FRCP. Pursuant to well-established rule practice, the Court shall find RDD entitled to summary judgment dismissing the complaint at bar because: (a) there is no genuine issue of material fact, and (b) RDD is entitled to such a judgment as a matter of law. Celotex v. Catrett, 477 U.S. 317 (1986). RDD meets with both requirements in fact and in law. On the other hand, the Complainant's Motion for Summary Judgment shall be held untenable as it totally ignores established legal standard under Rule 56. It should be dismissed in its entirety.
14. It is well-established that the law favors settlement among the litigating parties in the interest of judicial economy and cost-effectiveness of the legal process. This Commission has found settlement especially favorable and supportable when the parties are confronted with the prospect of expensive lawsuit and uncertain outcome. General Motors v. Nippon Yusen Kabushiki Kaisha et al. No. 15-08, 2016 WL 4157600 at \*2 (ALJ July 29, 2016); Celanese Corp. v. The Prudential Steamship Co., 20 S.R.R. 27, 30 (ALJ 1980)
15. On or about May 17, 2018, while this case is still pending, the Complainant has settled its claims against RDD and Zhejiang Handsome Int'l - its counterpart in China under the Chinese Court Procedures whereby RDD would pay the sum of \$61,704.00 representing 50% of the value of the claims; RDD paid and Complainant received in full settlement of its claims. (RDD Exhibit 6).
16. During the court proceedings leading to settlement, both the Complaint and Respondent, having been represented by counsel, were fully aware of the circumstances and legal ramifications of resolving the dispute and reaching the settlement. It follows that the Court should favor a finding that the settlement is "fair, correct and valid." Old Ben Coal Co. v. Sea-Land Service, Inc., 18 SRR 1085, 1092 (ALJ 1978)

17. In its Declaration “from” Hangzhou Qian Wang Dress submitted as “Supplemental Evidence” dated May 7, 2018, Complainant started a lawsuit...and then settled with them through the court on one condition, which is RDD gives us an one-time compensation of 50% of our loss, which means 61707 US Dollars in total.” Complainant has admitted and it is without dispute that RDD paid and Complainant received the said sum in full settlement of its claims.
18. Unfortunately, the Complainant is still seeking full compensation of its alleged losses and damages from RDD in total breach of the aforesaid settlement agreement. RDD should be entitled to reasonable cost and expenses of this motion.

### **CONCLUSION**

For reasons above, this Commission/Court shall grant the Summary Judgment in favor of Respondent RDD and against Complainant in the interest of fundamental justice and substantial fairness.

RESPECTFULLY SUBMITTED on this day July 28, 2018.



**REN RONG PAN ATTORNEY AT LAW**  
Attorney for Respondent RDD FREIGHT  
INTERNATIONAL INC.  
45 Division Street, Suite 201  
New York, NY 10002  
(212) 406-5533  
E-mail: [rpanlaw@yahoo.com](mailto:rpanlaw@yahoo.com)

TO:  
COMPLAINANT - Hangzhou Qianwang Dress Co., Ltd.  
c/o Lan Ye  
36-38 Main Street  
Flushing, NY 11355